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Market Briefs Pro

Read Less News

Good morning, Pro Briefers!

In late February 2026, the U.S. and Israel attacked Iran.

This sent the Middle East into a crisis - but the biggest impact of this conflict isn't the attack.

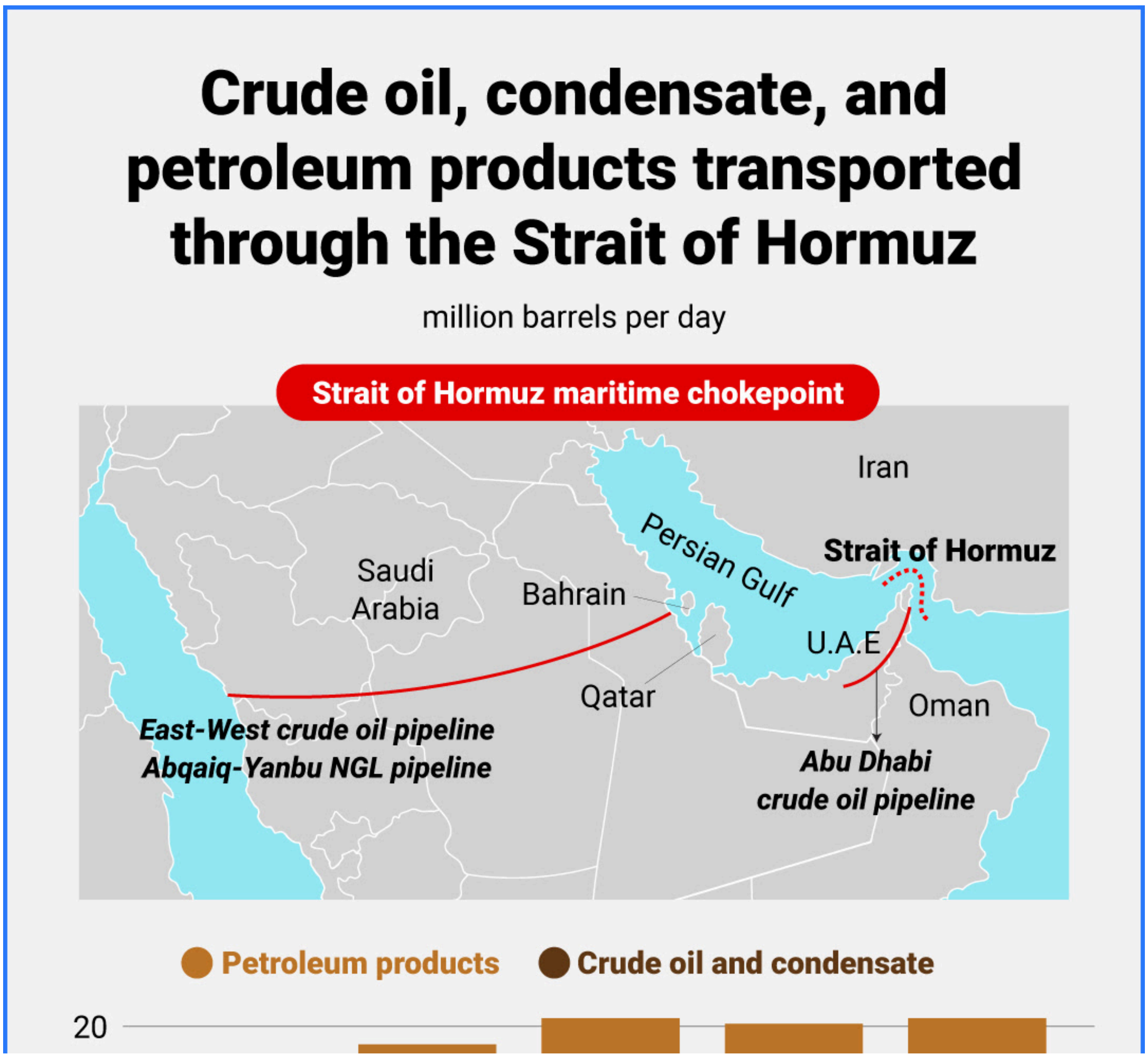
It's what's happening at sea. Since the fighting began, tanker traffic through the Strait of Hormuz has dropped by about 90%.

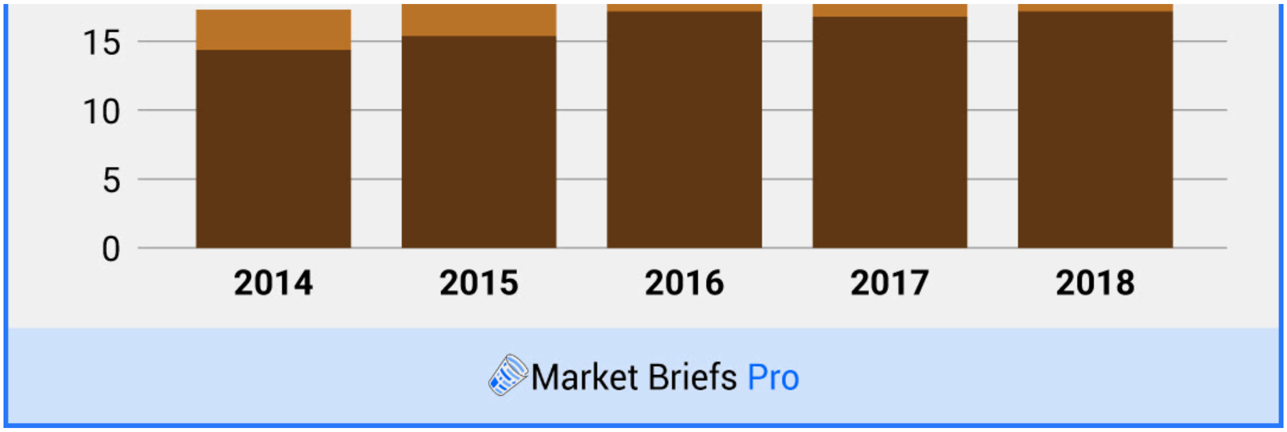
- 20% of the world's oil goes through the Strait.

Context: Think of the Strait of Hormuz like a highway for oil tankers.

Traffic has fallen because Iran is blocking some ships from passing through.

But the blockade is selective - ships from Turkey, India, and Saudi Arabia can still pass.





Data via U.S. Energy Information Administration

Vessels tied to the U.S. and Western allies can't.

There are backup pipelines in Saudi Arabia and the UAE - but they can only move 3.5 to 5.5 million barrels per day.

- That's less than a third of what the Strait of Hormuz normally handles.

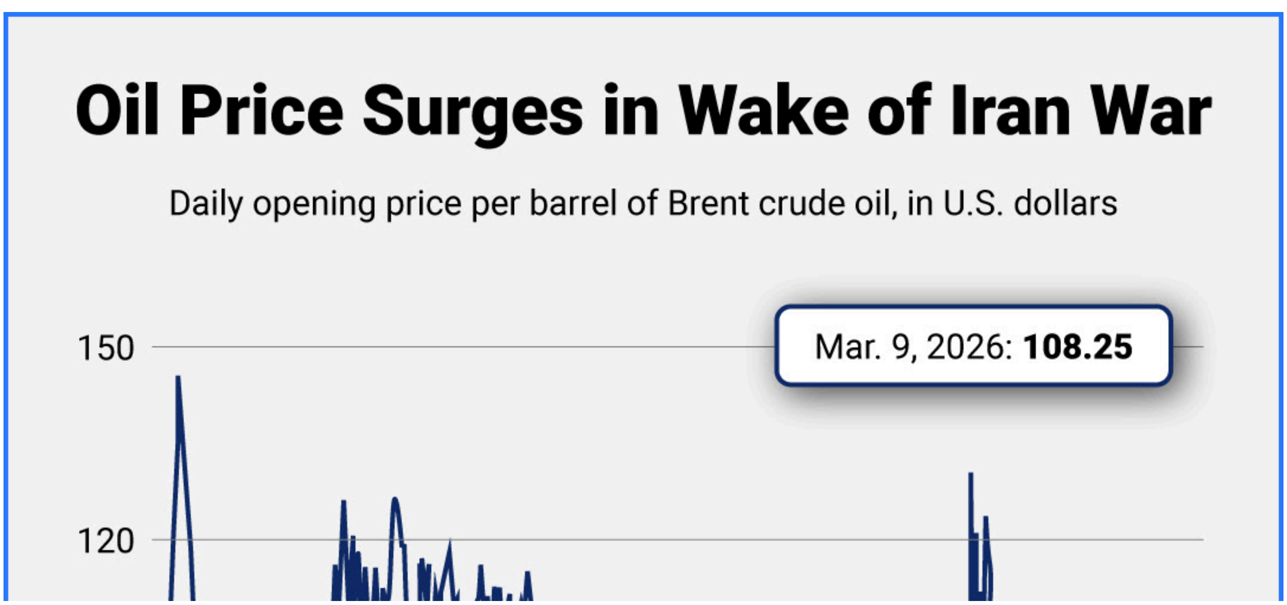
On March 11th, the International Energy Agency (IEA), the global body that watches energy markets, released 400 million barrels from emergency reserves worldwide.

That release was the biggest in history - all in an effort to reduce oil prices.

The U.S. is pulling 172 million barrels from its reserve over the next four months.

- Even all of that combined only covers about 15% of the supply that's been lost.

As of mid-March 2026, Brent crude oil - the global benchmark for oil prices - is sitting near $103 per barrel.



Data via Statista

Why does this matter? Most Wall Street forecasts expect this to be a short conflict and for prices to settle back down by summer.

But we see a different scenario.

The White House is using every tool it has to boost domestic oil production - from restarting offshore drilling in California to temporarily lifting sanctions on Russian oil.

But new wells take six months to a year before they start producing barrels.

And neither side is negotiating - which means there is a chance this conflict could drag out similar to the war between Russia and Ukraine.

With all of that said, this is where we have identified a Broad Market Shift:

The largest oil supply disruption in history is reshaping how the world moves energy - and the companies building that new infrastructure may present long-term opportunities for investors.

Let's break down some of these opportunities and the risks investors need to know.

ANALYST TAKE

Tickers we're tracking:

Defense: RTX, LMT, KTOS

Pipelines: EPD

Oilfields: SLB

DEFENSE

The Restocking Supercycle

We've covered defense stocks in previous reports - and the Iran conflict has only strengthened the case for these potential opportunities.

At the 2025 NATO summit, allied nations pledged to spend 5% of GDP on defense by 2035.

- That's more than double the old 2% target.

Growing global tensions mean weapons are being used more than they can be built.

Reports indicate the White House is pursuing $50 billion in additional defense funding, with the stated goal being a $1.5 trillion annual defense budget by 2027.

RTX (RTX) produces the Patriot missile defense system and Tomahawk cruise missiles - both central to this campaign.

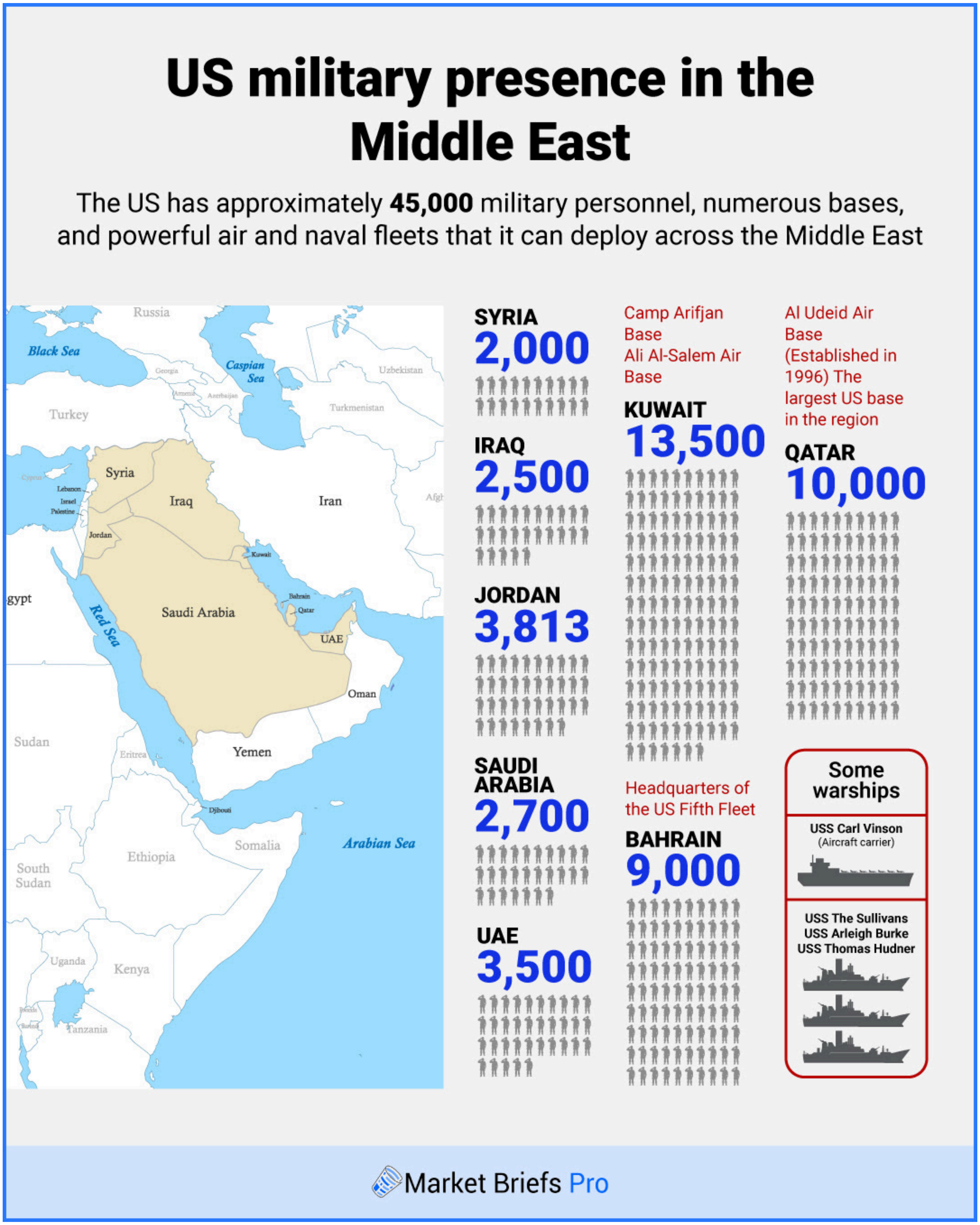
It closed 2025 with $268 billion in backlogged orders and its shares have grown roughly 157% per year over the last five years.

Lockheed Martin (LMT) builds the F-35 fighter jet and high-altitude missile defense systems.

It recently locked in a contract to ramp up annual production to make its high-altitude missiles from 96 to 400 units.

It has also built a $194 billion backlog - which is the largest in company history.

These are two companies we've recently discussed at length - you can read the full report on them right here.



Data via The Cipher Brief

But, there’s a new defense company we see as a potential opportunity: **Kratos Defense (KTOS)**.

Kratos is a smaller defense company, but it sits right at the center of what modern warfare is becoming: drones and autonomous systems.

This conflict in particular has put drones at center stage.

Iran has launched thousands of them, and every country in the region is now scrambling for ways to detect and destroy unmanned aircraft.

That category is called counter-UAS (unmanned aerial systems), and Kratos is one of the only pure-play companies that make these drones.

It builds both the drones themselves and the systems designed to stop enemy drones.

That puts it on both sides of the fastest-growing segment in defense.

Data via Kratos' Investor Presentation

Analysts expect Kratos to grow revenue by 21% in 2026.

But shares are trading around $93 as of March 19th, 2026, which may be a bit high compared to its size.

The company has a lot of promise but is still significantly smaller than the big names in the space, LMT, RTX, and L3Harris.

Investors may want to keep Kratos on their radar and look for a pullback before considering picking up shares.

Autonomous warfare isn't going away though - this opportunity may be just a bit overvalued right now.

Data via Briefs Terminal

PIPELINES

Moving Oil

Let's shift gears away from defense and into midstream energy.

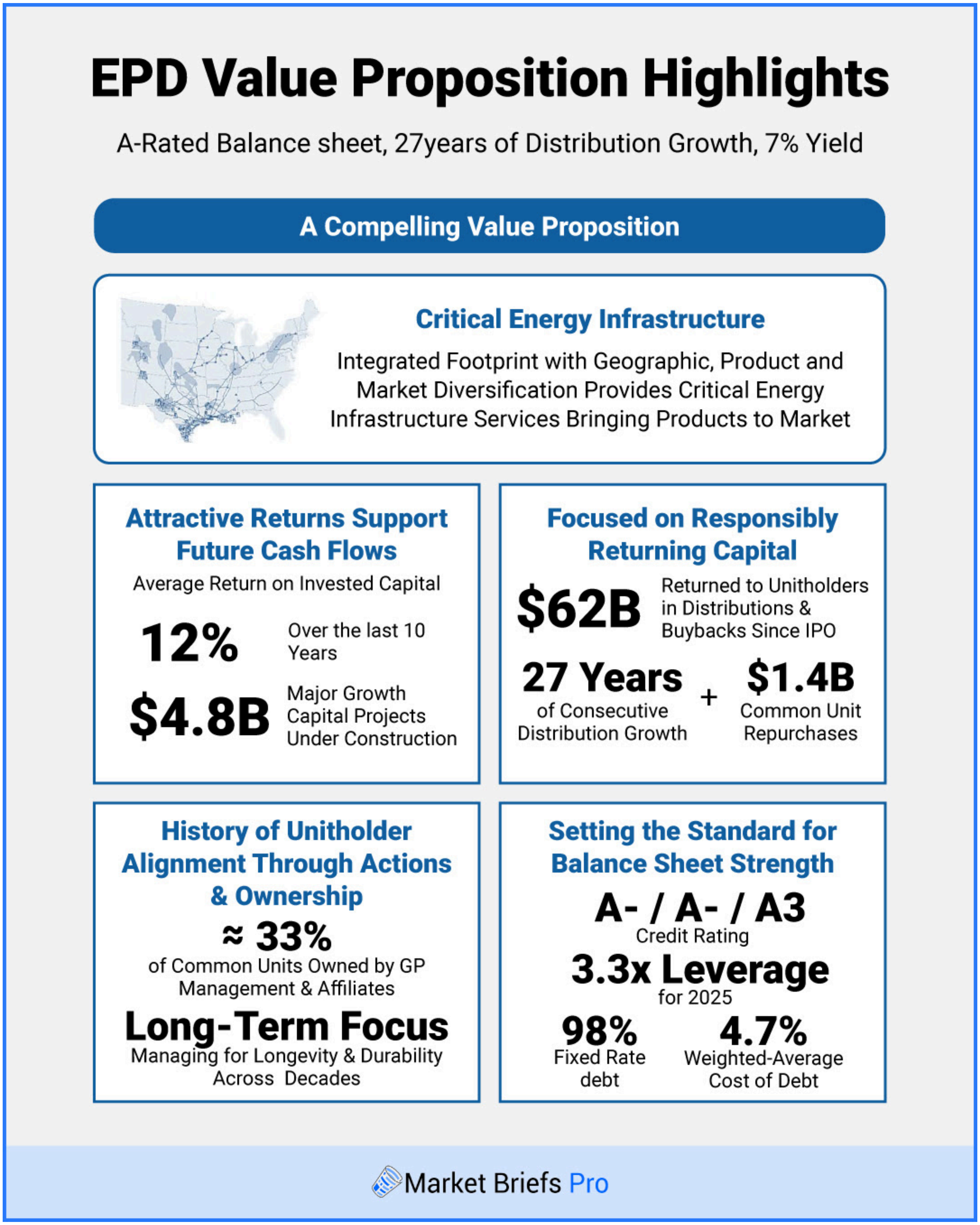
What's that? Midstream companies are the middlemen of energy - they move oil and gas from the wellhead to refineries, storage facilities, and export terminals.

If U.S. oil production ramps up over the next 12 to 18 months - which we expect it will - every new barrel needs pipeline capacity to reach buyers.

A company like **Enterprise Products Partners (EPD)** has the infrastructure in place to serve that surge in demand.

That makes it one of the most well-positioned names in this entire shift.

EPD runs more than 50,000 miles of oil and gas pipelines across the United States.



Data via EPD Investor Presentation

- It's one of the biggest midstream operators in the country.

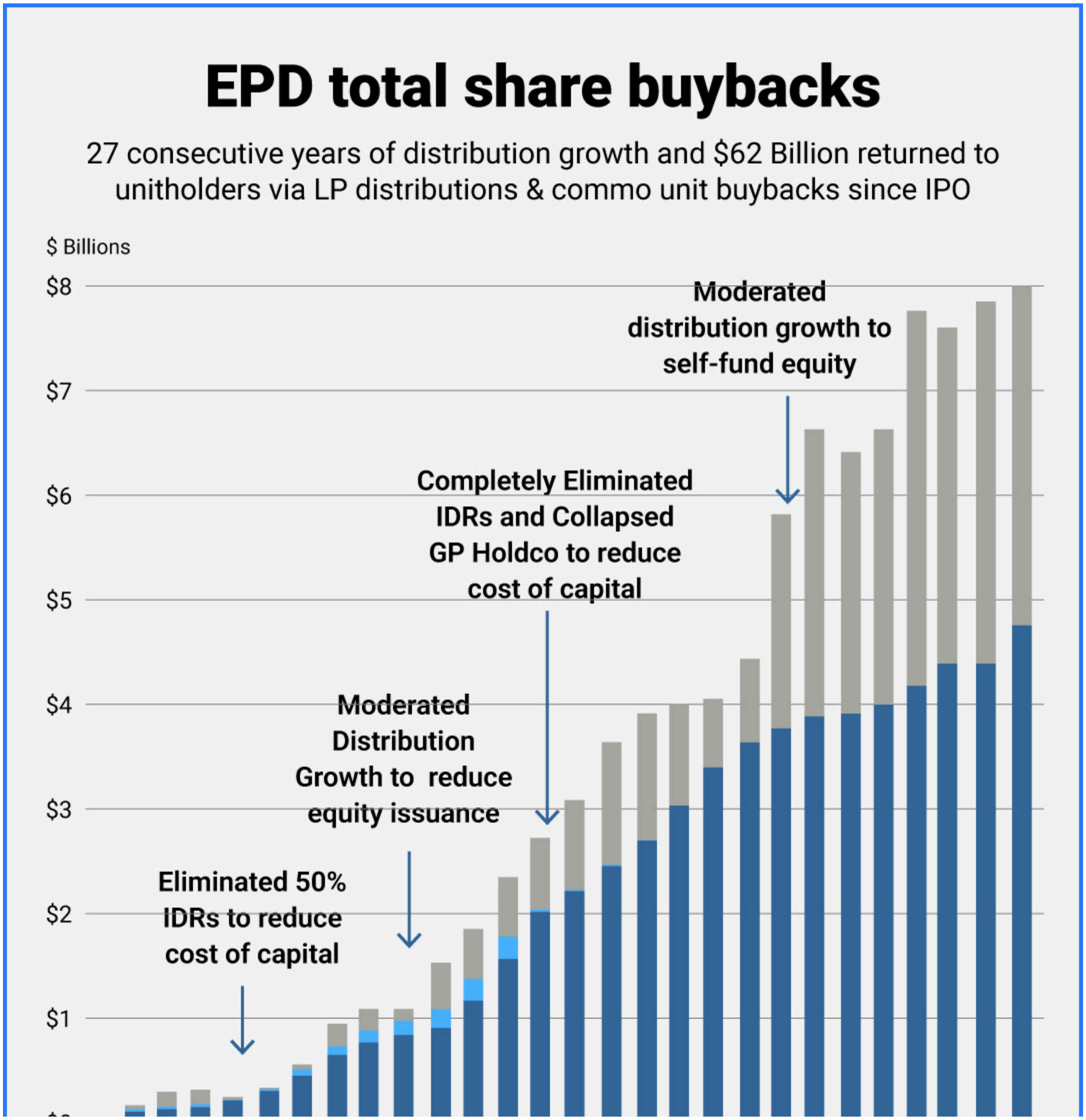
And despite oil prices rising, shares of EPD have stayed still.

The stock is up only about 8% so far this year as of march 19th, while the broader energy sector has rallied 20 to 30%.

The kicker: It’s still outpacing the S&P - but we believe the gap between EPD and the rest of the energy market is what creates the new opportunity.

EPD earns money based on the volume of oil and gas flowing through its network - not on what that oil sells for.

Whether crude is at $100 or $65, EPD gets paid for every barrel it moves.



Data [via](#) EPD Investor Presentation

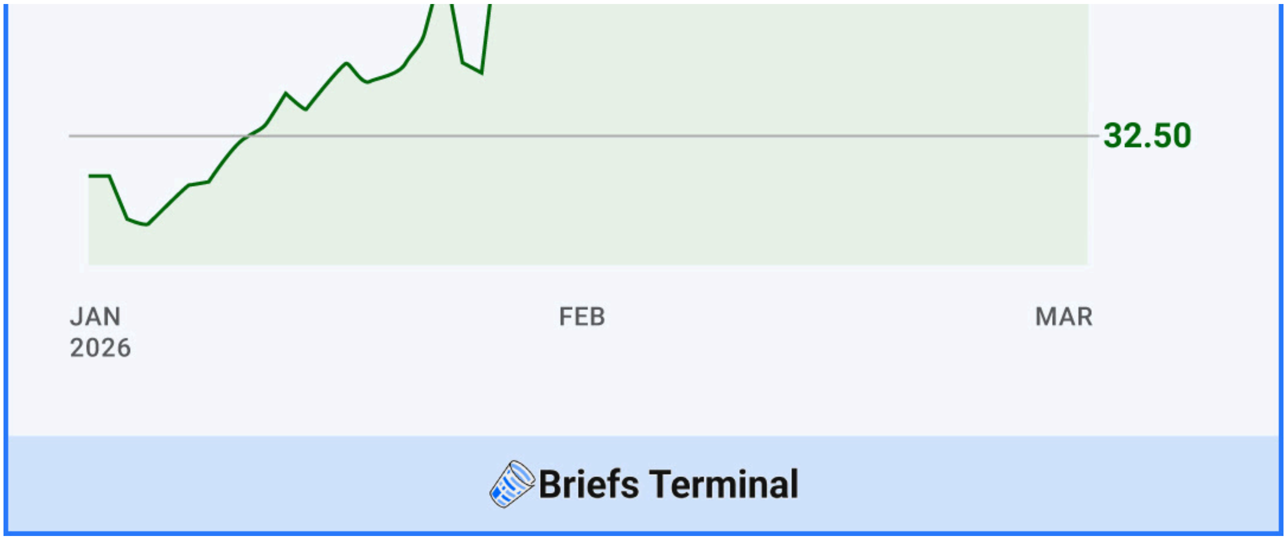
Most energy stocks rise and fall with the price of oil.

EPD's revenue is driven by how much gets pumped and shipped, not by the commodity price itself.

The company also pays a distribution yield - similar to a dividend - near 6%.

That means investors collect income just for holding shares.

And EPD has increased that payout for 27 straight years.



Data via Briefs Terminal

The bottom line: Investors will want to keep EPD in mind as energy stays volatile for the long-term and Wall Street overlooks its current value.

OILFIELDS

Getting The Oil From The Ground

Next, we have oilfield companies.

Why? Oilfield services (OFS) companies don't produce oil themselves.

They sell the tools and labor that make production possible.

These things are needed in the industry whether oil goes up or down.

SLB (SLB) is the biggest oilfield services company on the planet.

It provides the drilling rigs, underground imaging technology, and on-site expertise that oil producers need to pull barrels out of the ground.

The stock has jumped over 17% in 2026 as of March 19th.

But, at its current price point of around $47 per share on March 19th, investors may want to just keep an eye on this one.

Breakdown. Oilfield services stocks have a rough track record during oil booms.

They tend to spike early in a drilling cycle when everyone is rushing to hire rigs - and then fade fast when activity levels off.

The gains often disappear before most investors can lock them in.

Looking back through the years, oilfield service companies have consistently trailed the major oil producers - even during periods when crude stayed expensive.

Data [via] Briefs Terminal

Drilling booms give these stocks a quick pop, but the momentum usually fades once rig counts flatten, and Wall Street starts pricing in the slowdown before profits ever catch up.

So for SLB, we firmly believe that it is a potential opportunity, and that time plays a crucial factor here.

The actual investment case for SLB is further down the road.

When this conflict eventually winds down and Iran's oil fields reopen to outside companies, someone will need to rebuild that infrastructure.

Iran's production capacity is likely to be severely damaged.

- After the 1979 revolution, Iran's oil output never fully recovered - it was still 1.5 million barrels per day below its pre-revolution levels more than 30 years later.

SLB was a major contractor during Iraq's oil reconstruction in the years following the 2003 war.

It has the global footprint and technical capability to do the same in Iran.

That's a 2028-or-later story.

So when oil slows and this conflict fizzles out, investors may want to consider SLB at that point.

RISKS

How This Shift Could Change

The clearest risk is that the conflict ends sooner rather than later.

If the Strait reopens quickly, and oil prices drop, the companies in this report would likely see their shares fall.

Plus, current oil prices are putting pressure on people’s wallets.

Each $1 increase in crude oil costs American households about $3 billion a year.

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Lastly, there is historical precedent with a boom-and-bust pattern.

High prices almost always spark a drilling frenzy.

But, again, it takes time to drill and ship this oil. By the time it’s ready, it’s not always needed, which can cause oil prices to fall.

Flashback: The 1973 oil embargo kicked off a rush to drill that led to a 15-year price slump starting in the mid-1980s.

The same thing could happen here - so investors will want to keep these risks in mind as this shift develops.

REVIEW

It's Not Oil - It's Infrastructure

This war is speeding up a transformation that was already underway - the world is reducing its dependence on a single chokepoint in the Persian Gulf.

- Defense budgets are rising as tensions grow.
- Countries, including the U.S., are increasing their energy independence.

And for investors, here’s the takeaway: Oil price changes are not the opportunity.

The opportunity is in the companies building pipelines, manufacturing defense systems, and laying the groundwork for a world that refuses to be this exposed again.

That thesis holds whether oil is at $100 or $30.

And it's one investors may want to watch for years to come.

- Market Briefs Pro Team

*The Market Briefs Pro team often invests in the same stocks and assets we cover.

Why? Because we believe in practicing what we preach (and preaching what we practice).

But keep in mind: We're not financial advisors. Everything we provide is for education. You've got to do your own due diligence and think about what makes sense for your own financial situation. Investing has risks.

You are never guaranteed to make money when you invest, you might even lose money. If you're looking for personalized financial advice, we highly recommend speaking with a licensed financial advisor.

Our mission? It's simple - to help you be better with money.

Included interviews have been edited for length and clarity.